



ESBM 3700 ENTREPRENEURIAL ENVIRONMENTS

LECTURE 11

CHOOSING YOUR IDENTITY



University of Colorado **Boulder**

ENTREPRENEURIAL STRATEGY: THESE CHOICES MATTER



**CHOOSE YOUR
STRATEGY**



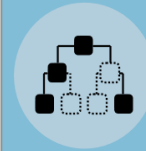
**CHOOSE YOUR
CUSTOMERS**



**CHOOSE YOUR
TECHNOLOGY**



**CHOOSE YOUR
COMPETITION**



**CHOOSE YOUR
ORGANIZATION**



VALUE CREATION HYPOTHESIS



VALUE CAPTURE HYPOTHESIS

Our path

Module 1

Entrepreneurial Mindset

Ideas to Opportunities

Business Models

Sources of Funding

Lean Startup

Lean Startup Exercise

Venture Pitching

Module 2

Choosing Your Customer

Choosing Your Technology

Choosing Your Identity

Choosing Your Competition

Quiz

Module 3

Disruption Strategy

Intellectual Property Strategy

Value Chain Strategy

Architectural Strategy

Bonus: Startup Failure

Bonus: Shark Tank

Final Exam

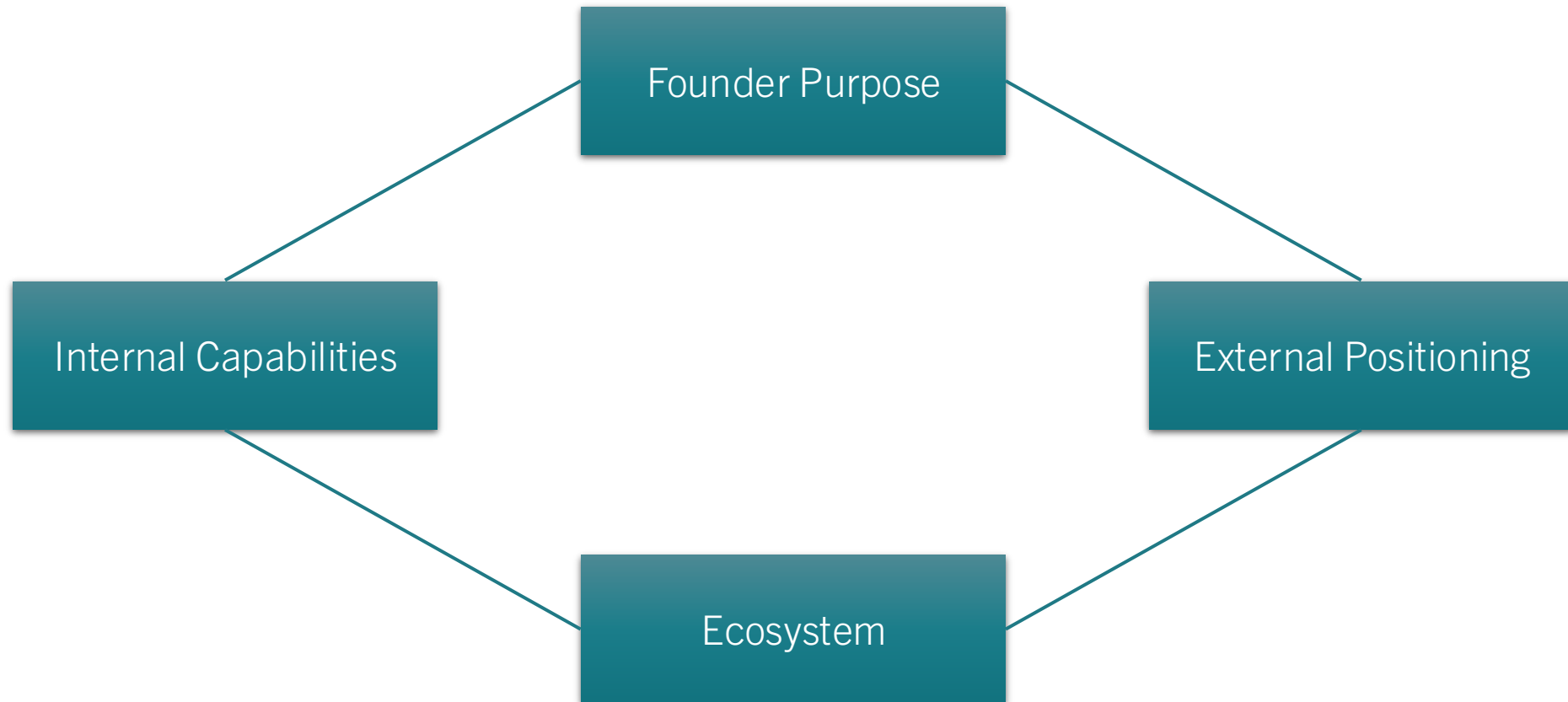
First, let's watch a video:



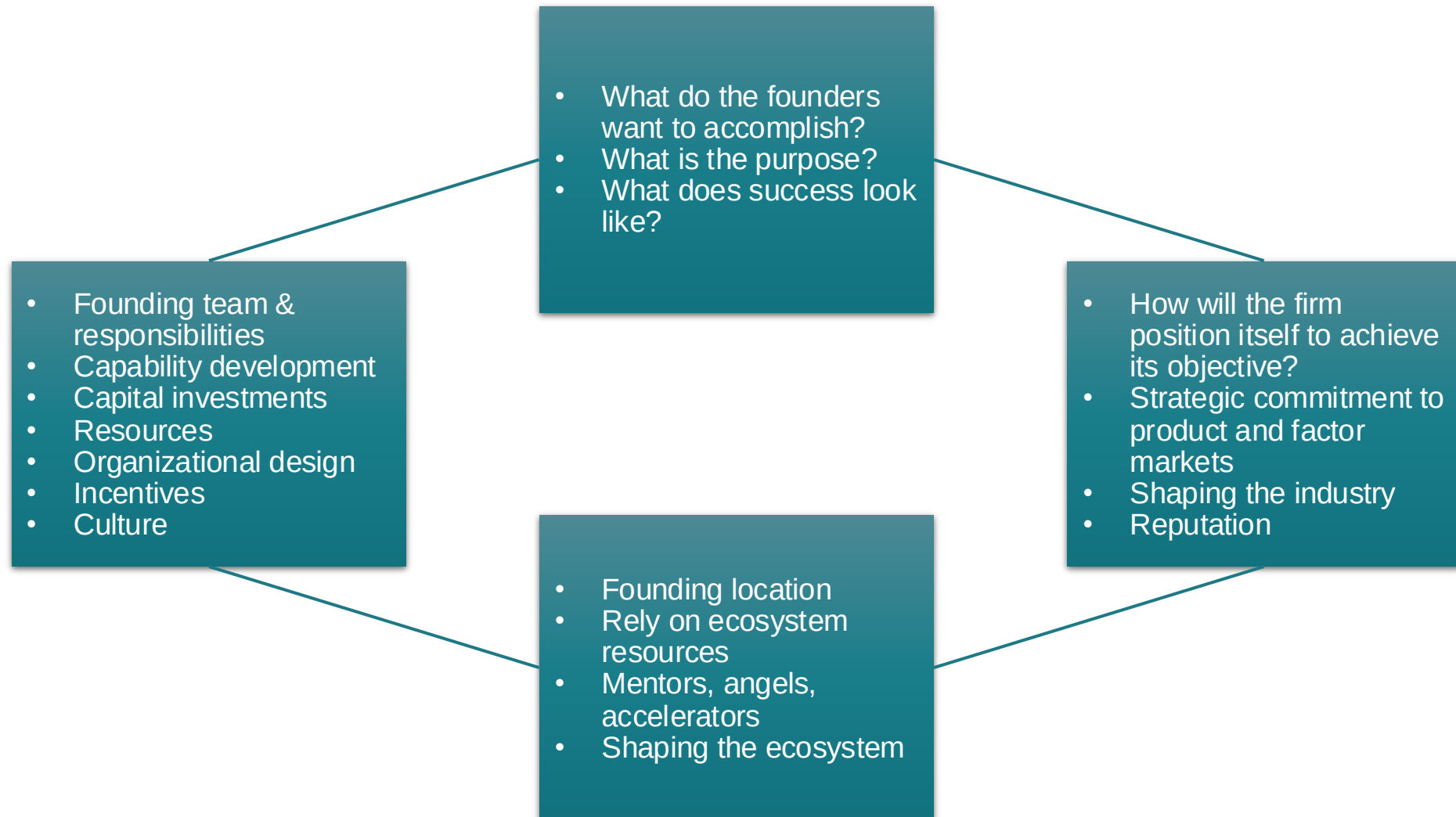
<https://www.youtube.com/watch?v=0lvMgMrNDlg>
(particularly the part from 5':20" to 10':25")

- What is he trying to accomplish?
- What would he NOT do?

Choosing your organizational identity: A framework



Choosing your organizational identity: A framework



Choosing your organizational identity:

Founder Purpose

Founder Purpose

- What do the founders want to accomplish?
 - What is the purpose?
 - What does success look like?
- The founder's purpose is essential in guiding the direction of a startup. It encompasses the **vision**, **mission**, and **ultimate goals of the business**.
 - The founder's purpose goes beyond financial gain; it reflects the deeper reason for the company's existence.
 - Success is measured by how **effectively the company extends its influence** and **fulfills its mission on a larger scale**. It's about scaling the impact of the founder's vision and addressing the problem or need that inspired the venture in the first place.

“PROFITS WITH
PRINCIPLES”

Anita Roddick
(1942-2007)



Choosing your organizational identity:

Internal capabilities

Internal Capabilities

- Founding team & responsibilities
- Capability development
- Capital investments
- Resources
- Organizational design
- Incentives
- Culture

- The roles and responsibilities of the co-founders should align with their expertise and the needs of the company at different stages of growth.
- The first few people the founding team hires have a tremendous impact on the internal capabilities of the startup.
- The founders must consider the **unique capabilities** that differentiate their startup from competitors.
- Startups must balance **flexibility** with the need for **formal processes**. Too much structure early on can stifle innovation, but too little structure during growth phases can lead to chaos.

Choosing your organizational identity:

Internal capabilities

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- In the **early stages**, startups often have a **flat organizational structure**, where everyone wears multiple hats. As the company grows, it may need to transition to a more **hierarchical** or **matrix structure**.
- Besides financial and equity incentives, startups often rely on **motivators** such as a **strong mission**, **opportunities for personal growth**, and **flexible work environments** to attract and retain talent.

Choosing your organizational identity:

Internal capabilities

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- The company **culture** that founders establish will influence everything from team dynamics to customer relationships. Culture plays a major role in how a startup navigates growth, challenges, and change.
 - **Purpose-Driven Culture:** A culture that aligns with the founder's mission and purpose can attract talent and customers who share those values.
 - **Innovation and Risk-Taking:** Startups must foster a culture that encourages innovation, experimentation, and calculated risk-taking to stay competitive.
 - **Collaboration and Openness:** A collaborative culture with open communication can enhance creativity, and
 - **Adaptability:** In a startup environment, change is constant. A culture that embraces adaptability and resilience will help the company thrive in the face of uncertainty.

FROM “MOVE FAST AND
BREAK THINGS” TO “MOVE
FAST AND DO THE RIGHT
THING”

Dara Khosrowshahi



Choosing your organizational identity:

External Positioning

External Positioning

- How will the firm position itself to achieve its objective?
 - Strategic commitment to product and factor markets
 - Shaping the industry
 - Reputation
- The **relationship with customers** is foundational to external positioning and can determine long-term success. There are different types of relationships that startups can establish:
 - Transactional Relationships
 - Relational/Engagement-Based Relationships
 - Collaborative Partnerships
 - Establishing leadership within an industry is essential for positioning a startup as a key player. Leadership can be achieved through **innovation, strategic communication, and thought leadership.**

Choosing your organizational identity:

External Positioning

External Positioning

- How will the firm position itself to achieve its objective?
 - Strategic commitment to product and factor markets
 - Shaping the industry
 - Reputation
- **Reputation** is a critical intangible asset that influences how customers, investors, partners, and competitors perceive a startup. A strong reputation can build trust, attract loyal customers, open up partnership opportunities, and position a startup as an industry leader.
 - What kind of reputation do you aim to establish?
 - Innovative and Disruptive Reputation
 - Customer-Centric Reputation
 - Ethical and Sustainable Reputation
 - Quality and Reliability Reputation
 - Fast and Agile Reputation
 - Cost-Effective Reputation
 - Aggressive Reputation

“CUSTOMER OBSESSION”

Jeff Bezos



Choosing your organizational identity:

Ecosystem

Ecosystem

- Founding location
- Rely on ecosystem resources
- Mentors, angels, accelerators
- Shaping the ecosystem

A startup's success is deeply influenced by the **ecosystem** it operates in. The surrounding environment includes **geographic location, access to resources, support systems, and how the startup interacts with other players**. Understanding and leveraging the startup ecosystem can provide competitive advantages and foster growth.

- A startup ecosystem provides a variety of resources that can be vital to early growth.
 - Human Resources
 - Financial Resources
 - Infrastructure and Facilities
 - Knowledge and Mentorship

Choosing your organizational identity:

Ecosystem

Ecosystem

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- Rely on ecosystem resources
- Mentors, angels, accelerators
- Shaping the ecosystem

Geographic location plays a critical role in a startup's ability to access talent, capital, and industry-specific resources.

- **Access to Talent:** Certain regions, such as Silicon Valley for tech startups or Boston for biotech, are known for a high concentration of skilled talent in specific industries. Startups in these areas can easily attract specialized talent.
- **Proximity to Investors:** Geographic hubs with active venture capital ecosystems make it easier for startups to raise funds and network with investors. Being close to funding sources allows for more face-to-face meetings and stronger relationships.
- **Industry-Specific Resources:** Some regions offer clusters of industry-specific resources. For example, logistics startups may thrive in areas with major transportation hubs, while fintech startups may benefit from proximity to financial centers like New York or London.
- **Regulatory Environment:** Different locations offer varying levels of support or restrictions for startups. Some governments provide tax incentives, grants, or favorable regulations that can benefit new ventures.

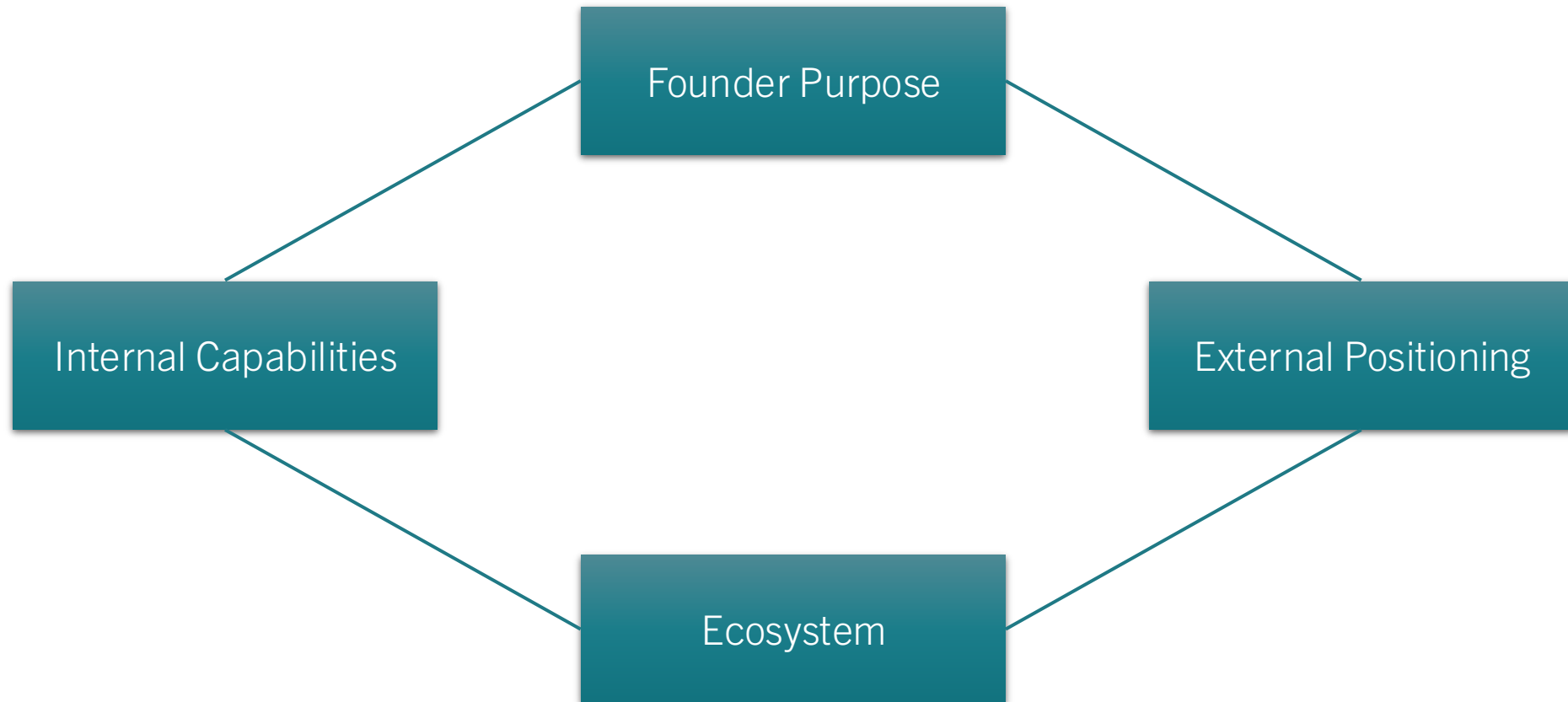
THE COMPANY THAT
LITERALLY STARTED
SILICON VALLEY IS
MOVING TO TEXAS.

CNN

December 2, 2020



Choosing your organizational identity: A framework



THANK YOU!